The long reach of brilliance: Ley de Protección al Trabajador in Costa Rica
By Andrés Rodríguez-Clare*

I grew up under the strong intellectual influence of my father. A brilliant economist with a PhD from Berkeley and an advisory committee made up entirely of future Nobel laureates (I am one third of the way there, but there is still hope of catching up), he was a member of the Mont Pelerin Society and personally knew Hayek and von Mises. By the time I was finishing my undergraduate economics education, I had read all of Hayek's books. Looking back, being a libertarian in Costa Rica during the 1980s was only natural given the failing strategy of import substitution and the government's overambitious meddling and investments in most sectors of the economy.

Despite my strong libertarian leanings, when I was choosing between Stanford and MIT for my PhD studies, I went to Stanford because of Joe Stiglitz. The contradiction between ideology and intellectual curiosity about how markets could fail persisted for many years.

The first-year macro sequence at Stanford was taught by Sargent, Hall and Stiglitz. I liked the rigor of Sargent's course, but found it a bit dry. I am sure Hall's was a brilliant course, but I could never follow what he was saying. And so it came time for the third course, "and it was just right." Joe gave a broad and unified view of macroeconomics that was theoretically interesting and policy relevant, and given with charm and passion... and the occasional Stiglitz transform.

I became Joe's TA, and later RA and co-author, and I fully bought into the idea that markets are rife with imperfections. Against all my ideological inclinations in favor of free markets, my PhD dissertation developed a model of an underdevelopment trap for an open economy, and of how multinationals could have a negative productivity effect by reducing the variety of non-tradable intermediate goods in a Dixit-Stiglitz framework. But despite many conversations with Joe on the subject (one while he was driving his son to buy him a pair of special sneakers!), I still held onto the view that although markets were not perfect, government interventions would likely make matters worse.

And then my father became president of Costa Rica and I went to work with him. Maybe the government was not so bad after all.

Joe was then chief economist of the World Bank, and he generously accepted my invitation to come to Costa Rica and participate in a workshop to discuss our economic priorities and plans. During a break, Joe and I sat by the side of the pool, and he asked me what were the main challenges we faced.

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* This is a short talk I gave in October 2015 at a conference titled "A Just Society," at Columbia University, in celebration of Joe's 50 years of teaching.

The labor unions were unhappy with the severance payment system, which had an 8-month salary cap and paid out only when workers were fired. There were calls for replacing that with unemployment insurance, but we feared the moral-hazard implications. The business sector was unhappy with the high labor taxes whose revenues were used to finance all sorts of ineffective government programs. And the World Bank was raising concerns about the sustainability of the pay-as-you-go social security system, and was proposing a Chilean-style reform. Joe proposed a brilliant idea that could tackle all these problems at once – individual accounts financed with a labor tax that could be used during unemployment but otherwise would go toward a worker's pension. This turned out to be one of those rare ideas that are both economically sound and politically feasible. It was embraced by unions and business groups in a formal consultation process and then successfully moved through Congress. The new "Ley de Protección al Trabajador" became the most successful reform of our government.[+]

The recognition of market failures, a creative and theoretically guided intervention, the belief that government can complement but not substitute the market, and a reform developed in consultation with the various interest and social groups – I can think of no better tribute to Joe as a teacher and advisor, and no better way to thank him for his friendship, than to recognize his contribution to that reform.

[+] On the law's 25th anniversary (2025), my father reflected on its achievements and the never-ending (but thankfully largely unsuccessful) pressures to allow early withdrawal of accumulated funds: https://www.rodriguez.cr/disyuntivas/blog-post-title-three-79dx2-sxe3z